

Prepared for:

CITY OF SAN MATEO



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2023

By:

URBAN FUTURES, INC.

Analytics & Compliance Group



Affected Issuance:

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

TABLE OF CONTENTS

INTRODUCTION	4
I. BACKGROUND	4
II. OBJECTIVE.....	4
III. CUSIP NUMBERS.....	5
FINANCIAL INFORMATION & OPERATING DATA	6
I. FINANCIAL STATEMENTS	6
II. PRINCIPAL OUTSTANDING AND ADDITIONAL INDEBTEDNESS.....	6
III. RESERVE FUND	8
IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS.....	9
V. LARGEST USERS	10
VI. STATEMENT OF REVENUES, EXPENSES & CHANGES IN FUND NET POSITION.....	10
VII. DEBT SERVICE COVERAGE.....	10
VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES	12
IX. CLAIM STATUS	12
X. SIGNIFICANT EVENTS	12

INTRODUCTION

I. BACKGROUND

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014, the City of San Mateo (“City”) issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (“2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to: (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014A Bonds. Please see the Official Statement for the 2014A Bonds as provided online at the Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) document repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture for the 2014A Bonds.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Continuing Disclosure Annual Report (“Annual Report”) is being provided by the Dissemination Agent for distribution to the MSRB’s EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. (“UFI”) at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or UFI. The City and UFI make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or UFI, and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and UFI shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or UFI.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2023 (“Financial Statements”), are separately posted to the EMMA document repository.

II. PRINCIPAL OUTSTANDING AND ADDITIONAL INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise’s principal amounts outstanding, as of June 30, 2023, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds and Obligations Outstanding as of June 30, 2023	
Bond Issue/Obligation	Amount Outstanding as of June 30, 2023
2014A Sewer Revenue Bonds	\$26,915,000
2019 Wastewater Revenue Bonds (Financing Agreement)	\$236,180,000
2021A Wastewater Revenue Refunding Bonds	\$13,700,000
2021B Wastewater Revenue Notes (Financing Agreement) ⁽¹⁾	\$271,565,000
2022 SWRCB Loan Financing Agreement	\$105,650,013

(1) On February 15, 2024, funds were drawn pursuant to the 2021 WIFIA Loans. Proceeds were used to defease to maturity the 2021B Notes and to establish a security deposit for payment obligations of the District to the 2021B Notes under the related Financing Agreement.

Source: Urban Futures, Inc. and City of San Mateo.

For a detailed description of the Sewer Enterprise’s bonds and parity obligations, please see the Note 7 to the Financial Statements separately posted to the EMMA document repository. The following is a description of additional indebtedness payable from revenues of the Sewer Enterprise that is not otherwise described in Note 7 to the Basic Financial Statements:

On November 5, 2020, the City entered into an agreement with the Authority and the Environmental Protection Agency (“EPA”) for a loan up to \$210,339,360 under the EPA’s Water Infrastructure Finance and Innovation Act (“WIFIA”) loan program. For a description of the

purpose and terms of this parity obligation, please refer to the “Notice of Incurrence of Financial Obligation as of 11/05/2020” posted on MSRB’s EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P21464793-P21136586-P21549429.pdf>).

On December 17, 2020, the City entered into an agreement with the Authority and the EPA for a loan up to \$85,140,000 under the WIFIA loan program. For a description of the purpose and terms of this parity obligation, please refer to the “Notice of Incurrence of Financial Obligation as of 12/17/2020” posted on MSRB’s EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P21664457-P21280983-P21709594.pdf>).

On February 15, 2024, the Authority, for the benefit of City, requisitioned \$295,479,360 from the Environmental Protection Agency pursuant to the above WIFIA loans. The WIFIA loans are existing Material Obligations under Agreement Number D2101045 (Project Number C-06-8297-110) (“2022 Construction Loan Agreement”) and the related Financing Agreements are current Member Agency Parity Obligations under the 2022 Construction Loan Agreement. The proceeds of the WIFIA loans, were used: (1) to reimburse the City for expenditures related to the WWTP Project and the San Mateo Basins 2 and 3 Collection System Improvements Project; (2) to defease to maturity the 2021 Wastewater Revenue Notes, Series B (“2021B Notes”) issued by the Authority; and (3) to establish a security deposit for payment obligations of the City to the 2021B Notes under the related Financing Agreement (a current Member Agency Parity Obligation under the 2022 Construction Loan Agreement).

On May 14, 2022, the City and the District entered into an agreement with the California State Water Resources Control Board (“SWRCB”) for a State Revolving Fund (“SRF”) loan up to \$137,456,000. For a description of the purpose and terms of this parity obligation, please refer to the “Notice of Incurrence of Financial Obligation as of 5/14/2022” posted on MSRB’s EMMA document repository for the 2014 Bonds (<https://emma.msrb.org/P11603768-P11237012-P11660064.pdf>). As of June 30, 2022, no amounts have been drawn down from the SRF loan.

III. RESERVE FUND

The table below presents the balance in the Sewer Enterprise Reserve Fund, as of June 30, 2023, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2023
2014A Sewer Revenue Bonds	No Reserve
2019 Wastewater Revenue Bonds (Financing Agreement)	No Reserve
2021A Wastewater Revenue Refunding Bonds	No Reserve
2021B Wastewater Revenue Notes (Financing Agreement) ⁽¹⁾	No Reserve

(1) On February 15, 2024, funds were drawn pursuant to the 2021 WIFIA Loans. Proceeds were used to defease to maturity the 2021B Notes and to establish a security deposit for payment obligations of the District to the 2021B Notes under the related Financing Agreement.

Source: City of San Mateo.

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners' average flow and number of accounts during Fiscal Year 2023.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2023		
	Average Daily Flow (mgd) ⁽¹⁾	Customer Accounts/Parcels ⁽²⁾
San Mateo	13.0	28,450
Foster City	2.4	7,137
CSCSD	0.3	1,432
Belmont ⁽³⁾	-	-
Hillsborough	0.5	2,250
Unincorporated County ⁽⁴⁾	-	-
	16.2	39,269

(1) Represents Fiscal Year 2023 Average Daily Flow amounts for San Mateo, Foster City, CSCSD, Belmont, Hillsborough and Unincorporated County.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated

(3) Insignificant average daily flow.

(4) Insignificant

Source: City of San Mateo.

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2023.

CITY OF SAN MATEO Sewer Enterprise Largest Users - FY 2023				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Essex Hillsdale Garden Apartments	40,965	1.75%	\$ 1,075,591	1.61%
HSC Property Owner LLC	21,041	0.90%	937,964	1.40%
ASN Bay Meadows I LLC & Bay Meadows II LLC	14,328	0.61%	650,157	0.97%
County of San Mateo	20,569	0.88%	599,931	0.90%
AIMCO Scotchollow Apartments LP	11,116	0.48%	500,099	0.75%
Essex Protfolio LP	15,897	0.68%	481,697	0.72%
SI VIII LLC	9,123	0.39%	429,693	0.64%
Hospitality Investment LLC Lessee	10,049	0.43%	395,053	0.59%
Spieker Richard Tod TR and Spieker Catherine Reilly TR	9,452	0.40%	393,754	0.59%
Sutter Bay Hospitals	12,230	0.52%	385,832	0.58%
Largest Users Total	164,770	7.04%	\$ 5,849,771	8.76%
All Users Total	2,279,300	100.00%	\$ 73,759,976	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES & CHANGES IN FUND NET POSITION

For the total actual Revenues and Net Revenues generated by the Sewer Enterprise during the subject fiscal year, please see the "Statement of Revenues, Expenses and Changes in Net Position – Proprietary Funds – Sewer Fund," in the Financial Statements separately posted to the EMMA document repository.

VII. DEBT SERVICE COVERAGE

The table on the next page presents a five-year historical summary of the Sewer Enterprise's annual net revenues, expenses, and debt service coverage ratios.

City of San Mateo
Continuing Disclosure Annual Report for the Fiscal Year Ended June 30, 2023

CITY OF SAN MATEO
Sewer Enterprise
Historical Revenues, Expenses and Debt Service Coverage

	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Revenues					
Service Charges	\$ 51,296,306	\$ 58,190,132	\$ 67,358,675	\$ 71,355,379	\$ 77,952,232
Connection Fees	420,362	301,556	603,615	135,740	35,445
Impact Fees	256,453	235,364	205,188	73,908	18,007
Other	4,321	14,715	1,375	98,330	403,854
Subtotal	\$ 51,977,442	\$ 58,741,767	\$ 68,168,853	\$ 71,663,357	\$ 78,409,538
Interest Income	1,379,769	5,845,282	851,242	(602,477)	7,176,108
Miscellaneous	4,480	-	1,375	-	-
Total Revenues	\$ 53,361,691	\$ 64,587,049	\$ 69,021,470	\$ 71,060,880	\$ 85,585,646
Expenses					
Cost of Sales and Services	\$ 20,804,894	\$ 19,928,516	\$ 21,032,300	\$ 21,071,196	\$ 21,228,059
Administration	2,541,848	2,899,304	3,229,417	3,337,533	3,280,498
Total Expenses	\$ 23,346,742	\$ 22,827,820	\$ 24,261,717	\$ 24,408,729	\$ 24,508,557
Net Revenues	\$ 30,014,949	\$ 41,759,229	\$ 44,759,753	\$ 46,652,151	\$ 61,077,089
Debt Service					
2011A Bonds	\$ 1,688,808	\$ 1,688,708	\$ 1,684,283	\$ -	\$ -
2014A Bonds	2,294,965	2,290,315	2,293,440	2,293,815	2,291,440
State Street Line of Credit	659,320	-	-	-	-
2019 Bonds (Financing Agreement)	-	7,206,940	10,947,250	10,947,250	10,947,250
2021 WIFIA Loan - WWTP ⁽¹⁾	-	-	-	-	-
2021 WIFIA Loan - Basins 2 & 3 ⁽¹⁾	-	-	-	-	-
2021A Bonds	-	-	-	371,204	1,195,700
2021B Notes (Financing Agreement)	-	-	-	7,920,646	13,578,250
2022 SWRCB Loan (Financing Agreement) ⁽²⁾	-	-	-	-	-
Total Debt Service	\$ 4,643,093	\$ 11,185,963	\$ 14,924,973	\$ 21,532,915	\$ 28,012,640
Debt Service Coverage	6.46	3.73	3.00	2.17	2.18
Net Surplus	\$ 25,371,856	\$ 30,573,266	\$ 29,834,780	\$ 25,119,236	\$ 33,064,449

(1) On February 15, 2024, \$295,479,360 in funds were drawn pursuant to the 2021 WIFIA Loans. The WIFIA Loan funds were used: (i) to reimburse the District for expenditures related to the WWTP Project and the San Mateo Basins 2 and 3 Collection System Improvements Project; (ii) to defease to maturity the 2021B Notes issued by the Authority; and (iii) to establish a security deposit for payment obligations of the District to the 2021B Notes under the related Financing Agreement. The principal amount of the 2021 WIFIA Loan - WWTP is \$210,339,360. The principal amount of the 2021 WIFIA Loan - Basins 2 & 3 is \$85,140,000. Interest payments on the WIFIA Loans begin August 1, 2024 and principal payments begin August 1, 2025.

(2) For the 2022 SWRCB Loan (Financing Agreement), interest is capitalized until February 28, 2025, and no principal payments are due until August 31, 2025, when the WIFIA Loan proceeds will be used to repay the City's obligations under the 2021B Wastewater Revenue Notes (Financing Agreement).

Source: Urban Futures Inc., with information from the City of San Mateo, Annual Comprehensive Financial Report.

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2023, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2023, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on the MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>